

Neeraj Dhawan vs The Branch Manager, State Bank Of India on 2 December, 2024

IN THE COURT OF CIVIL JUDGE-07, (CENTRAL),
TIS HAZARI COURTS, DELHI

CS SCJ No. : 94173/16
CNR No. : DLCT03-000403-2015

DATE OF DECISION : 02.12.2024

PRESIDING OFFICER: Mr. SAHIL GUPTA

Neeraj Dhawan
Director Of M/S Mega Grain Trading Co. Pvt. Ltd.
At 403-A, Prabhat Kiran Building,
Rajendra Place, New Delhi.

.....Plaintiff

Versus

The Branch Manager,
State Bank Of India
SME Connaught Circus,
B-39, Middle Circus
Branch Code 30203

..... Defendant

DATE OF INSTT: 16.09.2015
DATE RESERVED FOR JUDGMENT: 19.10.2024

Argued by:

- (a) Mr. Mayank Gupta, Ld. counsel for plaintiff.
- (b) Mr. Amit Kumar Singh, Ld. counsel for defendant.

SUIT FOR RECOVERY OF RS. 2,00,000/-

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JUDGMENT

1. Vide this judgment, I shall decide the present suit seeking recovery of Rs 2,00,000/- and costs of the suit.

2. The case of the plaintiff in brief is that the plaintiff is a director of M/S Mega Grain Trading Company Pet. Ltd. having its registered office at 403-A, Prabhat Kiran Building, Rajendra Place, New Delhi. That plaintiff presented the cheque bearing number 374398 amounting to 6,93,100/- with the defendant bank on 25.07.2014. That the defendant bank sent the said cheque for clearance twice on 26.07.2014 and 30.07.2014. That as per the statement of account, no reason has been mentioned for non-clearance of cheque on 26.07.2014 but as per the statement of account dated 31.07.2014, the cheque returning reason is "instrument outdated/stale". That the plaintiff deposited the cheque within the limitation period, but due to the fault of the defendant bank, the plaintiff suffered great agony, harassment and loss of reputation. That illegal notice was sent to the defendant bank on 23.02.2015 to which the reply dated 20.03.2015 was filed by defendant bank. Hence, the present suit.

3. The defendant in its written statement submitted that the cheque was presented 2 days before the expiry of three months from the date of issue and had not given 3-4 working days for clearing as per RBI guidelines. That the cheque in question was sent by defendant on 26.07.2014, for clearing and the day being a Saturday and half working day, the clearing was not completed.

Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 2 of 10 That 27.07.2014, was a Sunday and no cheque could be sent for clearing. That 28.07.2014, was a Monday and the report of the cheque sent for the clearing on 26.07.2014, was received late on 28.07.2014, and there was no time left for clearing. That on 29.07.2014, it was a holiday due to Idul Fitr and bank was closed. That on 30.07.2014, the cheque in question was immediately sent for clearing, but the same was returned for the reason "instrument outdated/stale". That the reason for bouncing is given by the drawer bank and not by the bank which sent the check for clearing. That due to holidays, the cheque in question did not reach the drawer bank within the validity period of the cheque for which the plaintiff is solely responsible as the plaintiff was well aware that the cheques are not sent for clearing on holidays.

4. In the replication filed by the plaintiff, the contentions of the written statement have been denied and the averments made in the plaint have been reiterated and reaffirmed.

5. Hence, pertinent question to be decided in the present case is:

(a) Whether the present suit has not been filed by the person authorised by M/S Mega grain trading Company Ltd.? OPD

(b) Whether the defendant faulted in processing the clearance of the cheque presented by the plaintiff on 25.07.2014? OPP

(c) whether the plaintiff is entitled to recovery of Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 3 of 10 Rs.2,00,000/- as prayed? OPP

(d) Relief

6. To prove its case, the plaintiff has examined himself as PW1 who tendered his evidence by way of affidavit which is Ex. PW1/A. PW1 has relied upon following documents:

- (i) Mark A : statement of account.
- (ii) Mark 1/1 : copy of deposit slip.
- (iii) Mark 1/2 : copy of cheque.
- (iv) Mark 1/3 : copy of legal notice.
- (vi) Mark 1/4 : copy of postal receipt.
- (vii) Mark B : original reply to legal notice.
- (viii) Mark 1/5 : copy of report of mediation.
- (ix) Ex. PW-1/1 : certified copy of order of

consumer disputes redressal forum dated 17.08.2015.

Board resolution was taken on record in view of the order on Order VII rule 14 of this court on 15.11.18.

Pay-in-slip was taken on record in view of the order of Honourable High Court of Delhi vide order dated 23 July 2024.

7. PW-1 was cross examined at length on 02.04.16 and was discharged on the same day. PE was subsequently closed on 02.04.16 and matter was put for DE.

8. Due to non-appearance, the defendant was proceeded ex-

Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 4 of 10 parte on 6.12.2016. Later, the ex-parte proceedings were set aside on 01.06.2017. On 16.04.2017, substitution application of the defendant was allowed and Ms. Reepika Kumari, Deputy Manager was substituted as AR of the defendant.

9. The AR namely Reepika Kumari examined herself as DW-

1. She tendered his evidence by way of affidavit which is Ex.DW-1/1 wherein she reiterated the averments made in the present written statement. The same are not reproduced here for the sake of brevity. The plaintiff relied on the following documents in his support:

(i) Ex.DW1/A : True copy of notification dated 27.03.1987, published on 02.05.1987, in Gazette of India.

(ii) Mark A : Photo copy of Office identity card of deponent.

10. The defendant was partly cross examined on 30.08.2019. On 19.04.2022, another substitution application was filed by defendant and Mr Papeesh Kumar was substituted as AR of dependent Bank. The newly appointed AR adopted the cross examination of DW-1 Ms. Reepika Kumari. The AR namely Mr Papeesh Kumar was further cross examined on 17.08.2022 and DE was closed on 17.08.2022 and the matter was put up for final arguments.

11. I have heard the arguments and perused the record.

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ISSUE NO.1 - Whether the present suit has not been filed by the person authorised by M/S Mega grain trading Company Ltd.? OPD

12. It was argued by the defendant that since no board resolution has been filed by the plaintiff authorising him to file the present suit, the suit is not maintainable. Further, that the cheque was issued in the name of M/S Mega grain trading co. Pvt. Ltd and not in the name of the plaintiff, no cause of action arises in favour of plaintiff to file the present suit. During the course of the trial, an application under Order VII Rule 14 was moved by the plaintiff to file additional documents i.e. board resolution authorising the plaintiff to prosecute the present matter and the application was allowed vide order dt. 15.11.2018. The board resolution filed by the plaintiff clearly authorises the plaintiff who is working as director to take legal action and file the case on behalf of the company and against the State bank of India. Accordingly, the issue is decided in favour of the plaintiff and against the defendant.

ISSUE NO.2 - Whether the defendant faulted in processing the clearance of the cheque presented by the plaintiff on 25.07.2014? OPP
ISSUE NO.3 - whether the plaintiff is entitled to recovery of Rs.2,00,000/- as prayed? OPP

13. The aforesaid issues are taken up together being inter-

Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 6 of 10 related. It is the case of the plaintiff that cheque in question was presented with the defendant bank on 25.07.14 and was sent for clearance twice by the defendant bank i.e. 26.07.14, and 30.07.14 but was returned by the defendant bank for the reason "outdated/stale". PW-1 during his cross examination, deposed that the cheque in question was dated 30.04.14 and was deposited with the defendant bank on 25.07.14.

It is the case of the defendant that the cheque was presented 2 days before the expiry of three months from the date of issue and had not given 3-4 working days for clearing as per RBI guidelines. DW-1, during the cross examination, admitted that the cheque in question was presented for clearance twice i.e. 26.07.14 and 30.07.14 and bears the bank clearing stamp seal. It was further admitted that once the cheque is presented to the bank for clearance, the same cannot be presented for clearance again, unless the same is returned to the customer. The witness deposed that the cheque in question was returned to the plaintiff on 30.07.14, and it was again presented by the plaintiff on 30.07.14 itself. DW-1 further deposed that the cheque had become stale on 29.07.14. When questioned on the report on 28.07.14, as mentioned in para number seven of evidence affidavit of DW1, the witness deposed that the report pertains to the number of cheques presented on the previous date by the clearing house. When questioned on the process of cheque clearance in 2014, after the cheque is deposited, the witness deposed that the cheques are collected from the dropbox and the entries are made in the register and then manually sent to the clearing house following which the collected cheques are

Neeraj Dhawan vs. The Branch Manager, State Bank Of

India CS SCJ No. : 94173/16 Page no. 7 of 10 distributed by the clearing house to the respective banks for further process. The witness deposed that the report and the register are not filed by the defendant as they are not preserved for more than five years.

In the present matter, the cheque dated 30.04.2014 was presented with the defendant bank on 25.07.2014 which was sent for clearance by defendant bank twice i.e. 26.07.14 and 30.07.14. It is evident from the pay in slip that the cheque in question was presented on 25.07.2014 and was sent for clearance for the first time on 26.07.2014 and for the second time on 30.07.2014 through CTS. DW-1 deposed that once the cheque is presented to the bank for clearance, the same cannot be presented for clearance again, unless the same is returned to the customer. DW- 1 submitted that the cheque was returned to the plaintiff on 30.07.2014 and on the very same date, the plaintiff again presented the cheque. It is important to notice that no reason has been mentioned by the defendant bank for the first return and had returned the cheque on 30.07.2014, with the reason "outdated/stale". The cheque 30.04.2014 could not have become stale before 30.07.2014 but the cheque was returned on 30.07.2014 with the reason "stale". The defendant Bank in its defence stated the cheque in question was sent by defendant on 26.07.2014, for clearing and the day being a Saturday and half working day, the clearing was not completed. That 27.07.2014, was a Sunday and no cheque could be sent for clearing. That 28.07.2014, was a Monday and the report of the cheque sent for the clearing on 26.07.2014, was received late on 28.07.2014, and there was no time left for clearing. That on 29.07.2014, it was a Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 8 of 10 holiday due to Idul Fitr and bank was closed. That on 30.07.2014, the cheque in question was immediately sent for clearing, but the same was returned for the reason "instrument outdated/stale". When questioned on the report received on 28.07.2014, regarding the cheque sent for the clearing on 26.07.2014, DW-1 replied that the report pertains to the number of cheques presented on the previous date by the clearing house. It is pertinent to note here that the cheque in question was sent for clearance through CTS, where the physical cheque is retained by the collecting bank and only the image of the cheque is sent to the payee bank. It is evident from the pay in slip that the cheque was sent for clearance on 26.07.2014 and 30.07.2014 through CTS and the defence taken by the defendant bank that 3-4 working days are required for clearing is not tenable. Lastly, when asked to bring the report and the register of the cheques sent for clearance, the defendant bank failed to produce the same on record, stating that the records are not available/ preserved for more than five years.

Hence, plaintiff has duly discharged its burden of proof under Section 101 of the Indian Evidence Act, 1872. It was for the defendant bank to prove that there was no negligence on part of the defendant ask officials, however defendant has failed to do so.

Accordingly, the issues are decided in favour of the plaintiff and against the defendant.

RELIEF

14. Since the plaintiff has already filed another civil suit Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 9 of 10 against M/S Pancham International Ltd. in respect of the recovery of amount of the cheque in question and the present suit has been filed for

recovery of damages towards mental agony, tension, harassment, as well as legal expenses, the court is not inclined to grant the relief of recovery of 2,00,000/-.

In view of above discussion, the suit of the plaintiff is hereby decreed as under:

- a) A decree for the recovery of Rs.50,000/- is passed in favour of plaintiff and against the defendant.
- b) Costs of the suit also awarded in favour of the plaintiff and against the defendant.

15. Decree sheet be prepared accordingly.

16. File be consigned to record room after due compliance.

Digitally signed by SAHIL SAHIL GUPTA GUPTA Date:

2024.12.02 16:20:50 +0530 Announced in the open Court SAHIL GUPTA Civil Judge -07 (Central) Tis Hazari Court, Delhi Dated : 02.12.2024 Note: This judgment contains 10 (Ten) pages and each page has been checked and signed by me. Digitally signed by SAHIL SAHIL GUPTA GUPTA Date:

2024.12.02 16:20:57 +0530 SAHIL GUPTA Civil Judge -07 (Central) Tis Hazari Court, Delhi Dated : 02.12.2024 Neeraj Dhawan vs. The Branch Manager, State Bank Of India CS SCJ No. : 94173/16 Page no. 10 of 10